Literature Review

Public Economics - Enrico Rubolino 3A ENSAE

Who Pays When Fathers Don't ? Child Support Enforcement, Single Mothers, and Debtor Responses in France

Research Question: What are the effects of automatic public intermediation of child support on payment compliance, on the economic security of creditor parents, and on the behaviour of debtor parents ?

Other related questions :

- Does switching from opt-in to default intermediation increase take-up and the regularity of payments?
- Does more secure child support income affect mothers' labour supply, their reliance on some benefits (RSA,prime d'activité, ASF), and child poverty ?
- What is the net fiscal cost of the reform, and what is its welfare value per euro spent?

Table 1: Comparison of the closest papers

Paper	**Question and mechanism**	**Setting and data**	**Identification**	**Main finding**	**Limits and relevance**
Bonnet, Garbinti & Solaz (2021), *Journal of Population Economics*	Causal effect of divorce on living standards and labour supply of each ex-spouse. Is the gender gap driven by the number of children or by within-couple earnings inequality (marital specialisation)? Role of child support and public transfers.	France. Exhaustive income and housing tax returns. Divorces and PACS dissolutions in 2009, ages 20–55 (64,393 women, 56,299 men). Living standards in 2008 vs. 2010, built in three steps: pre-transfer, with child support, with net public transfers (benefits imputed).	Difference-in-differences combined with nearest-neighbour propensity score matching on still-married couples. Exact matching within 24 strata (gender × number of children × man's earnings share), 40+ covariates including 3 years of pre-divorce earnings. Assumes no time-varying unobserved confounders. Standard errors by subsampling.	Relative to controls, women's living standard falls by 18.5%, men's by 2.1%. Within-couple earnings inequality matters far more than the number of children. Child support reduces women's loss by about 6 pp and men's gain by about 9 pp; public transfers offset the gradient in number of children. Inactive women are 29 pp more likely to (re)enter work; working women's labour income rises by 12%.	Limits: one-year horizon only; formal unions only; spousal alimony excluded; child support observed as declared paid, not as ordered, so non-payment is not identified; benefits assume 100% take-up; pre-IFPA period (2009). Relevance: benchmark for creditor-side outcomes (living standards, labour supply) on French tax data; shows that tax returns record child support on both sides, which supports matching creditors and debtors.

1 Theoretical Framework

2 Automatic Withholding and Payment Compliance

3 Responses of Paying Parents

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3.1 Rossin-Slater and Wüst (2018): Parental Responses to Child Support Obligations

Research Question The authors investigate how child support obligations affect parental behaviour following separation. Specifically, they examine whether higher mandated payments increase actual financial transfers to children and how parents adjust their custody arrangements, subsequent fertility, and labour market behaviour.

Data The study uses Danish administrative register data covering children born between 1985 and 2010, linked to their biological parents regardless of residential arrangements. The registers provide annual information on income, employment, earnings, marital and cohabitation status, educational attainment, family composition, and tax-reported child support payments.

The main analysis covers separations occurring between 1999 and 2010, with outcomes observed through 2013. The final sample contains 40,109 fathers, each linked to the mother and children. The authors restrict the sample to fathers with one or two children under 18 and separation-year gross incomes between DKK 270,000 and 405,000, expressed in 2000 prices.

A limitation is that the administrative records do not identify formal versus informal child support agreements, fully observe shared custody, or measure in-kind transfers and visits.

Identification Strategy The authors exploit quasi-exogenous variation generated by the Danish child support formula. Mandated obligations are a nonlinear step function of the father's gross income, the number of children, and the calendar year. The income thresholds and payment amounts change over time, generating differential exposure across otherwise comparable fathers.

The empirical strategy uses a **simulated instrumental variables (SIV)** approach. The potentially endogenous explanatory variable is the father's average annual child support obligation over the post-separation period, since subsequent income and fertility may themselves respond to child support obligations.

The authors instrument this variable using the statutory obligation calculated exclusively from the father's income, number of children, and applicable formula in the year of separation:

$$Z_i = g_{t_i}(I_{i,t_i}, K_{i,t_i}).$$

The first stage is:

$$\overline{Obligation}_i = \alpha + \pi Z_i + \boldsymbol{\gamma}' X_i + \mathcal{F}_i + u_i,$$

and the second stage is:

$$Y_i = \beta_0 + \beta_1 \widehat{\overline{Obligation}_i} + \boldsymbol{\delta}' X_i + \mathcal{F}_i + \varepsilon_i.$$

Here, Y_i represents a post-separation outcome, X_i includes parental and child characteristics measured at separation, and $\mathcal{F}_i$ denotes fixed effects for separation year, number of children, and DKK 15,000 income bins, together with all pairwise interactions between these three dimensions. The specification also controls for the number of original children remaining under 18 in subsequent years.

Identification therefore comes from the residual variation in statutory obligations across income, family size, and separation year, conditional on their main effects and pairwise interactions. The design resembles a triple-difference strategy.

The main identifying assumption is that this residual formula-driven variation is uncorrelated with unobserved determinants of subsequent parental behaviour. The authors investigate selection into separation, balance in predetermined parental characteristics, strategic sorting around income thresholds, and pre-separation labour supply. They find no systematic evidence undermining the identifying assumption. The preferred first-stage F-statistic is approximately 94.

Main Results

- **Child support payments:** A DKK 1,000 increase in average annual mandated obligations increases observed average annual payments by only DKK 273 (significant at the 10% level). Payments therefore respond substantially less than one-for-one to higher obligations.
- **Voluntary transfers:** The probability of paying more than the mandated obligation falls by approximately 2.3 percentage points (significant at the 1% level), consistent with partial crowding out of voluntary payments.

- **Father-child co-residence:** A DKK 1,000 increase in average annual obligations reduces the probability that the father lives with his child in at least one post-separation year by approximately 1.8 percentage points (significant at the 5% level), around 6.5% relative to the sample mean.
- **Subsequent fertility:** Higher obligations increase the probability that fathers have another child while married to a new partner by approximately 1.2 percentage points (significant at the 1% level). The authors find no statistically significant effect on fathers' overall subsequent fertility or mothers' subsequent fertility.
- **Labour market outcomes:** The authors find no statistically significant effects on fathers' or mothers' labour market participation or earnings.

Interpretation and Limitations The findings suggest that child support mandates generate behavioural adjustments beyond monetary payments. Higher obligations increase observed transfers, but may crowd out voluntary financial contributions and are associated with reduced father-child co-residence. The latter is consistent with substitution between financial and non-financial parental investments, although the data cannot directly identify the underlying mechanism.

The less-than-one-for-one payment response cannot be interpreted solely as non-compliance: informal agreements, unobserved shared custody arrangements, and voluntary payments also contribute to the gap between statutory obligations and observed payments. Furthermore, the co-residence measure does not capture all forms of contact between fathers and children.

Because the sample focuses on relatively higher-income fathers, the results may not generalise to lower-income families or other institutional contexts.

Relevance for Our Research Project This paper provides an important benchmark for studying behavioural responses to child support policies using linked administrative data. It demonstrates that interventions affecting child support can influence both monetary transfers and non-monetary parental investments.

However, the policy variation differs from our proposed evaluation of France's 2022–2023 reform. Rossin-Slater and Wüst identify the effects of changes in the *amount of statutory child support obligations*, whereas the French reform changes the *administration and enforcement of payments*, without mechanically increasing the amounts owed.

Our project would therefore complement their analysis by examining whether automatic public intermediation improves actual payment compliance, the financial security of creditor parents, and potentially debtor behaviour. In particular, their results motivate investigating whether more effective payment enforcement generates behavioural responses beyond changes in financial transfers.

3.2 Cancian, Heinrich and Chung (2013): Discouraging Disadvantaged Fathers' Employment: An Unintended Consequence of Policies Designed to Support Families

Research Question The authors investigate whether child support-related debt discourages formal employment among economically disadvantaged fathers. Specifically, they examine how an increase in debt arising from childbirth costs affects fathers' formal employment, earnings, and child support payments.

The central question is whether policies designed to recover public expenditures and support families may generate unintended labour market incentives, ultimately reducing fathers' capacity to provide financial support.

Institutional Context The study focuses on Wisconsin, United States, where certain low-income fathers may be required to reimburse childbirth expenses initially covered by Medicaid.

These obligations can generate substantial debt at the beginning of a child's life. Since formal earnings may be subject to child support enforcement and debt collection, higher obligations can reduce the financial returns to formal employment.

Consequently, fathers may respond by reducing their participation in the formal labour market or their declared earnings.

Data The authors use linked administrative data from Wisconsin, combining information from the child support enforcement system with unemployment insurance employment and earnings records.

The study examines 8,263 fathers in economically disadvantaged families associated with Medicaid-financed childbirths.

The administrative records allow the authors to observe child support-related debt, payments, formal employment, and earnings over time.

An important limitation is that unemployment insurance records primarily capture formal employment and therefore do not fully measure informal work or other unreported economic activities.

Identification Strategy A central empirical challenge is the endogeneity of child support debt.

Fathers with weaker labour market attachment may accumulate more debt because they have fewer resources to meet their obligations. At the same time, higher debt may itself discourage formal employment.

A simple regression of employment on debt would therefore not necessarily identify a causal effect.

To address this issue, the authors exploit variation in Medicaid childbirth costs, which influences the amount of birth-related debt assigned to fathers.

Differences in these costs generate variation in debt that is not directly determined by fathers' employment decisions.

The identification strategy aims to isolate the effect of higher debt on subsequent formal employment, earnings, and child support payments.

Its validity relies on the assumption that the variation in childbirth costs used for identification does not directly affect fathers' labour market outcomes through other channels.

Main Results

- **Formal employment:** Higher child support-related debt reduces fathers' participation in formal employment.
- **Earnings:** Greater debt is associated with lower earnings recorded in the formal labour market.
- **Child support payments:** Higher debt also reduces child support payments, suggesting that stronger financial obligations may undermine the resources available to support children.
- **Heterogeneous effects:** Responses vary according to fathers' previous earnings histories, highlighting the importance of economic circumstances in determining behavioural responses.

Interpretation and Limitations The findings highlight a potential unintended consequence of child support enforcement policies.

When financial obligations are substantial relative to fathers' resources, increasing debt may reduce the incentives to participate in formal employment.

This can generate a counterproductive mechanism: policies intended to increase financial contributions may instead reduce formal earnings and observed payments.

However, a decline in formal employment does not necessarily imply an equivalent reduction in total economic activity, since informal employment is not fully observed.

Furthermore, the analysis concerns a specific institutional setting involving the recovery of Medicaid childbirth expenses in Wisconsin. Its results may therefore not generalise directly to other child support systems.

Relevance for Our Research Project This paper is particularly relevant to our proposed evaluation of France's 2022–2023 reform introducing automatic intermediation of child support payments.

It suggests that child support policies may influence not only payment compliance but also the economic behaviour of debtor parents.

In particular, more effective collection mechanisms could affect fathers' incentives to participate in formal employment, especially among those with limited financial resources.

An important distinction is that Cancian et al. study the effects of additional birth-related debt, whereas the French reform primarily changes the administration and collection of existing child support obligations.

Our project could therefore complement their analysis by examining whether automatic payment intermediation improves financial transfers to creditor parents without generating adverse labour market responses among debtors.

Their findings also motivate investigating heterogeneous treatment effects by fathers' pre-reform income, employment status, and financial vulnerability.

4 Receiving Mothers: Labor Supply, Benefits, and Living Standards

4.1 C. Bonnet, B. Garbinti, A. Solaz, "The Flip Side of Marital Specialization: The Gendered Effect of Divorce on Living Standards and Labor Supply", Journal of Population Economics, 2021

Motivation Divorce hurts women more than men. In prior studies, women's living standards fall by 10–40%, while men's stay stable or rise. The usual explanation is **custody**: mothers bear the cost of raising the children. The authors argue this is only part of the story. Theory (Cigno 2012; Lafortune & Low 2019) treats marriage as a commitment device. It lets one spouse specialize in home production in exchange for compensation. If that compensation is insufficient at divorce, the cost of specialization shows up. Existing evidence has three weaknesses:

- It mostly compares the same people before and after divorce, which is not causal.
- It relies on small survey samples with non-random attrition.
- It often observes only one side of child support (paid or received, not both).

Research question What is the causal effect of divorce on each ex-spouse's living standard and labor supply? And is the gender gap driven mainly by the number of children or by within-couple earnings inequality, used as a proxy for marital specialization?

Data and design Data: exhaustive French income-tax and housing-tax returns. The sample covers couples who divorced or dissolved a PACS in 2009, aged 20–55: about 64k women and 56k men.

Outcome: living standard in 2008 vs 2010, built in three steps:
- pre-transfer income,
- plus child support,
- plus net public transfers (benefits are imputed).

Method: difference-in-differences combined with nearest-neighbor propensity score matching. Matching is done separately in 24 groups defined by gender × number of children × the man's share of couple earnings. It uses more than 40 covariates, including earnings in each of the 3 years before divorce.

Contributions **Data**: both ex-partners are observed, with child support both paid and received. Attrition is 7% and is reweighted.
Causal estimates: women lose 19% (vs –14% before–after). For men, the sign flips to –2% (vs +3.5% before–after).
Mechanism: An accounting decomposition (eq. 1–2) and the regressions both show that within-couple earnings inequality matters far more than the number of children. The second earner loses regardless of gender. Men who earned less than 40% of couple earnings lose about 20%.
Role of transfers: Public transfers remove the link between number of children and women's losses. Child support raises women's living standard by about 6 percentage points and reduces men's gain by about 9 points.
Labor supply: Previously inactive women are 29 percentage points more likely to enter work than their matched controls. Working women's labor income rises by 12%. Divorced men face about a 40% higher risk of unemployment.
Robustness: results hold for medians, alternative equivalence scales, PACS dissolutions and the repartnered sample. Repartnering largely offsets the losses.

5 Guaranteed Maintenance, Tax-Benefit Interactions, and Default Effects

6 French Institutional Sources